Entity B: Nexus Logistics

Financial Profile Report, FY 2024-2025. Source: Financial_Metrics_Benchmark_4_Entities.pdf (IRS Form 1120S/1065 line items and balance sheet). Risk score not calculated.

1. Executive Summary

Nexus Logistics reports net revenue of $2,310,800 and recomputed EBITDA of $345,100, a 14.93% margin. Total debt of $890,000 gives leverage of 2.58x, the second-highest of the four entities.

Key metric	Value
Net revenue	$2,310,800
Recomputed EBITDA	$345,100
Total debt	$890,000
Debt / EBITDA	2.58x
EBITDA margin	14.93%
EBITDA / interest	14.9x

2. Revenue Analysis

Line item	Form line	Amount
Gross receipts / sales	1a	$2,350,000
Returns & allowances	1b	$39,200
Net revenue	1c	$2,310,800

Returns and allowances reduce gross receipts by 1.67%. Reconciliation check: $2,350,000 - $39,200 = $2,310,800, which matches the reported Line 1c.

3. EBITDA Reconciliation

Component	Form line	Amount	% of net revenue
Taxable income / net	21	$157,000	6.79%
+ Interest expense	13	$23,100	1.00%
+ Depreciation & amortization	14	$45,000	1.95%
+ Officer compensation	7	$120,000	5.19%
= Recomputed EBITDA		$345,100	14.93%

The benchmark formula adds officer compensation back to EBITDA, which is not standard EBITDA. The sensitivity in Section 6 shows the figures without that add-back.

4. Debt Structure and Leverage

Item	Form line	Amount	Share of debt
Short-term debt	17d	$240,000	26.97%

Item	Form line	Amount	Share of debt
Long-term debt	19d	$650,000	73.03%
Total debt		$890,000	100.00%

Debt / EBITDA = $890,000 / $345,100 = 2.58x. Total debt is 38.51% of net revenue.

5. Profitability and Coverage

Ratio	Value
EBITDA margin (EBITDA / net revenue)	14.93%
Taxable income margin	6.79%
Interest expense / net revenue	1.00%
EBITDA / interest expense	14.9x
Depreciation & amortization / net revenue	1.95%
Officer compensation / net revenue	5.19%

6. Analyst Commentary

• Debt equals 38.51% of revenue. Interest of $23,100 is covered 14.9x by EBITDA, so servicing capacity is adequate at current earnings, but there is less headroom than at Entities A and C.

• Taxable income is 6.79% of net revenue. Returns and allowances are 1.67% of gross receipts, the second-highest ratio in the group.

• Sensitivity: officer compensation ($120,000) is 34.77% of EBITDA, the largest share of any entity but Entity D. Without that add-back EBITDA is $225,100 and leverage rises to 3.95x.

Sensitivity	EBITDA	Debt / EBITDA
As reported (with officer add-back)	$345,100	2.58x
Excluding officer compensation add-back	$225,100	3.95x

7. Data Limitations

• The source lists tax-return and balance-sheet figures only. No bank-statement totals are given, so tax-to-bank variance (data integrity) cannot be assessed.
• No scheduled principal and interest payments are given, so debt service coverage (DSCR) is not calculated. EBITDA / interest is shown as a proxy.
• The risk score and risk category are intentionally excluded from this report.